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Co-operative Kenya FY'2025 Earnings Note

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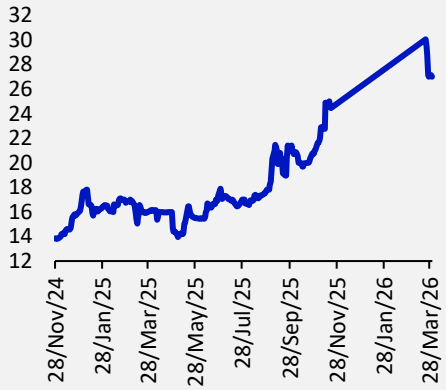
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Co-operative Bank FY'25 Earnings Note

1st April 2026

Ticker Information	
NSE Code:	COOP
Issued Shares (Bn):	5.87
52-week high:	KES 31.50
52-week low:	KES 10.10

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	28.0%	51.7%	74.2%	94.9%

Source: NSE, AIB-AXYS Research

Recommendation	Current Price	Target Price
BUY	**KES 27.00**	**KES 33.38**

Summary

- **Co-operative Bank delivered 16.9% y/y growth in net earnings in FY'25. The performance was supported by a 22.0% growth in net interest income, which rose to KES 62.85 Bn, while non-interest income slipped slightly by 0.3%.** Additionally, the company recorded an 11.3% expansion in total assets, reaching KES 827.35 Bn. Gross non-performing loans increased by 3.5% y/y to KES 73.53 Bn. The Board of Directors declared a final dividend of KES 1.50 per share, bringing the total dividend for the year to KES 2.5 per share, translating to a 66.7% increase from KES 1.50 per share paid in FY'24.

Key Highlights

- **Earnings Performance:** Revenues from loans and advances increased by 7.5% y/y to KES 60.07 Bn, chiefly buoyed by a 12.6% increase in the loan book. Additionally, income from government securities climbed 8.3% to KES 29.11 Bn, in line with a 12.6% increase in government securities. Interest on deposits and placements rose 12.4% to KES 3.96 Bn, resulting in an 8.0% y/y increase in interest income to KES 93.14 Bn. On the expense side, interest on customer deposits declined by 14.8% to KES 25.00 Bn, while interest on deposits and placements eased significantly by 51.1% to KES 0.53 Bn, ultimately lifting net interest income by 22.0% to KES 62.85 Bn. On the non-funded side, FX trading income dropped by 26.5% to KES 3.66 Bn, due to a stable currency and reduced volumes, while fees and commissions also declined by 5.1% to KES 10.48 Bn. However, other fees offset the decline in non-funded income, increasing by 6.9% to KES 12.90 Bn, leading to a slight 0.3% decline in non-funded income to KES 29.03 Bn.

- **Asset quality –** The stock of non-performing loans increased by 3.5% y/y to KES 73.53 Bn during the period under review, with Real Estate and Building and Construction recording the highest levels of NPLs at 32.7% and 43.1%, respectively. The lender increased provisioning by 8.9% y/y to KES 43.94 Bn. Notably, the gross NPL ratio improved by 1.4 percentage points to 15.8%, largely linked to the faster expansion of the loan book. The coverage ratio increased to 66.0%, up by 2.1 percentage points.

Balance Sheet Dynamics

Total assets expanded by 11.3% y/y to KES 827.35 Bn, supported by a 12.6% y/y increase in loans and advances to KES 421.00 Bn. Notably, the personal consumer sector accounted for 50.9% of total loans disbursed, followed by trade at 13.8%. In terms of segments, retail accounted for the largest share of disbursements at 48.0%, up from 46.8%. On the funding side, deposits increased by 13.4% y/y to KES 574.17 Bn, with a significant portion coming from the retail segment at 25.0%. Additionally, current and savings accounts accounted for 58.5% of total deposits. During the period under review, the loan-to-deposit ratio remained relatively unchanged at 73.0% from 73.4% in FY'24.

Outlook

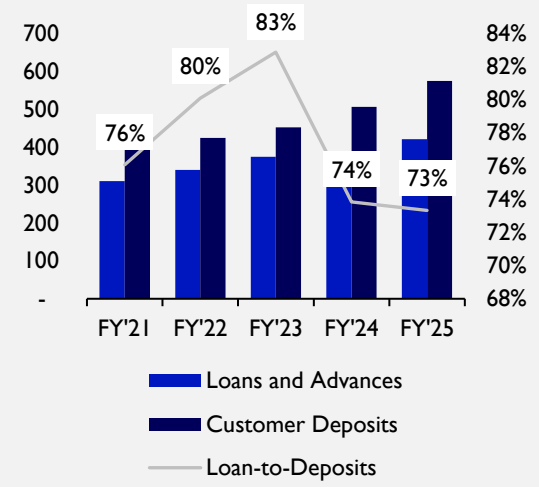
Co-op delivered an impressive performance for the year. A key highlight was the issuance of the first-ever interim dividend of KES 1.00 per share, which lifted overall shareholder returns, as the bank maintained the final dividend at KES 1.50 per share. Growth was evident across various subsidiaries. Notably: i) strong growth in net earnings before tax from the South Sudan subsidiary, which rose to KES 236.32 Mn from KES 11.07 Mn, and ii) triple-digit growth from Co-opTrust Investment Services, and iii) Co-op Bancassurance business, which reached KES 1.49 Bn, in profit before tax.

We expect Co-op to maintain its earnings momentum in 2026, supported by a growing customer base, an extensive branch network, and continued investment in digital channels. Key drivers will include: i) a pickup in credit demand across various segments as the economy continues to grow, supporting core banking revenues, and ii) lower lending rates, which should reduce the cost of funds. With interest rates expected to remain relatively low throughout the year, the lender will be better positioned to negotiate cheaper deposits, thereby preserving margins. Subsidiaries will remain a key anchor for growth. South Sudan is expected to gain further momentum as the economy recovers, continuing to support the Group's overall performance. Co-op Bancassurance also shows promise, with profit before tax rising to KES 1.49 Bn, and is expected to contribute to overall growth. NPL levels increased, while overall industry levels softened, indicating room for improvement. The lender remained prudent by increasing provisioning in line with the rise in NPLs. We anticipate that a low-interest-rate environment will support loan repayments, particularly as the lender implements the Revised Base Credit Pricing Model. However, the Middle East conflict poses a downside risk to growth if tensions persist over an extended period.

Recommendation

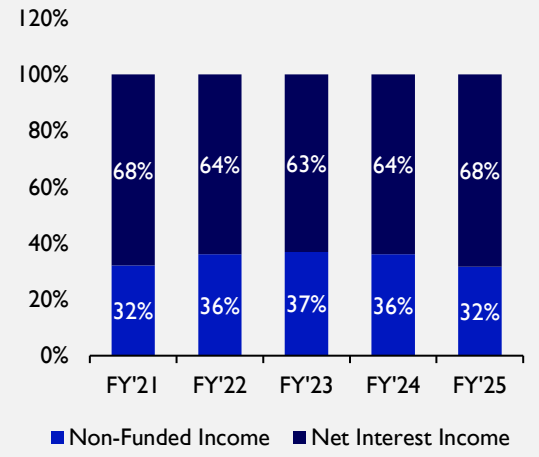
- **We issue a *BUY* recommendation on Cooperative Bank at the current price level. The bank's outlook is strong, driven by a resilient core business and growth prospects across subsidiary businesses.** At the current market price, the stock is trading at a P/E ratio of 5.3x and a P/B ratio of 1.0x. Our one-year target price for Cooperative currently stands at KES 33.38 - representing a c. 23.6% upside potential from current levels.

Chart 2: Faster Deposit Mobilization



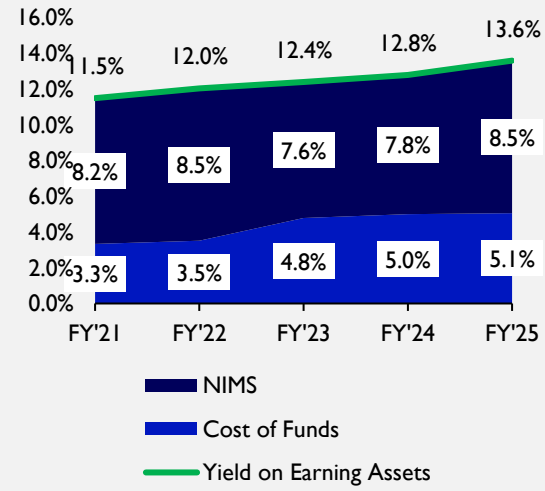
Source: Company filings, AIB-AXYS Research.

Chart 3: Revenue Distribution



Source: Company filings, AIB-AXYS Research.

Chart 4: Margins Trend



Income Statement (KES Bn)	FY'21	FY'22	FY'23	FY'24	FY'25	% y/y change
Net Interest Income	41.04	45.52	45.23	51.52	62.85	▲ 22.0%
Net non-Interest Income	19.40	25.73	26.46	29.13	29.03	▼ (0.3%)
Total Operating income	60.43	71.25	71.69	80.65	91.89	▲ 13.9%
Provision for Impairment	(7.93)	(8.68)	(6.01)	(8.66)	(9.46)	▲ 9.2%
Total Operating expenses	(38.09)	(42.24)	(39.67)	(46.69)	(51.99)	▲ 11.4%
Profit before tax	22.65	29.43	32.36	34.78	40.29	▲ 15.8%
Profit after tax	16.54	22.04	23.19	25.46	29.75	▲ 16.9%
Annualized EPS	2.82	3.76	3.95	4.34	5.07	▲ 16.9%
DPS	1.00	1.50	1.50	1.50	2.50	▲ 66.7%

Balance Sheet (KES Bn)	FY'21	FY'22	FY'23	FY'24	FY'25	% y/y change
Government Securities	179.38	173.28	189.05	217.57	244.94	▲ 12.6%
Loans and Advances	310.20	339.39	374.23	373.73	421.00	▲ 12.6%
Total Assets	579.77	607.20	671.13	743.19	827.35	▲ 11.3%
Customer Deposits	407.73	423.80	451.64	506.11	574.17	▲ 13.4%
Total Liabilities	479.03	499.25	557.45	597.59	661.31	▲ 10.7%
Shareholder's Funds	100.22	107.68	113.56	145.38	165.47	▲ 13.8%

Ratio Analysis	FY'21	FY'22	FY'23	FY'24	FY'25	% y/y change
Spreads Analysis						
Yield on Assets	11.5%	12.0%	12.4%	12.8%	13.6%	▲ 0.8%
Cost of Funds	3.3%	3.5%	4.8%	5.0%	5.1%	▲ 0.1%
Net Interest Spread	8.2%	8.5%	7.6%	7.8%	8.5%	▲ 0.7%
ROaE	28.6%	21.2%	21.0%	19.7%	19.1%	▼ (0.5%)
ROaA	4.9%	3.7%	3.6%	3.6%	3.8%	▲ 0.2%
Profit Margin	27.4%	30.9%	32.3%	31.6%	32.4%	▲ 0.8%
Operating Efficiency						
Cost to Income Less LLP	49.9%	47.1%	47.0%	47.2%	46.3%	▼ (0.9%)
Cost to Assets Less LLP	5.2%	5.5%	5.0%	5.1%	5.1%	▲ 0.0%
Loan to Deposit Ratio	76.1%	80.1%	82.9%	73.8%	73.3%	▼ (0.5%)
Asset Quality						
Gross NPL Ratio	14.8%	14.2%	16.4%	17.2%	15.8%	▼ (1.4%)
NPL Coverage	62.6%	65.1%	57.2%	63.9%	66.0%	▲ 2.1%
Capital Adequacy						
Core Capital/TRWA	15.6%	16.9%	18.2%	18.3%	20.3%	▲ 2.0%
Total Capital /TRWA	17.2%	18.0%	22.5%	21.2%	22.6%	▲ 1.4%
Liquidity	53.8%	48.3%	52.0%	60.0%	59.9%	▼ (0.1%)



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